FASHIONWAVE

Retail Sales Performance Analysis

Business Intelligence Report

January 2023 - March 2024

Retail Store Analysis | 20 Stores across India

TOTAL REVENUE	PROFIT GENERATED	TRANSACTIONS
68.15 cr	24.44cr	OVER 100K

PREPARED BY

Junior Analytics team | FASHIONWAVE

Executive Summary & Project Context: FASHIONWAVE Retail Analysis

1. Business Profile

FASHIONWAVE is a multi-channel retail company offering a curated portfolio of clothing, shoes, and accessories. The brand's physical footprint consists of 20 operational stores.

2. Analysis Scope & Timeline

This data analysis project evaluates financial performance and margin health across a specific 15-month timeline:

Baseline Period: Full Year 2023 (January – December 2023)

Current Performance Window: Q1 2024 (January – March 2024)

3. Core Analytical Assumptions & Constraints

To ensure data integrity and accurate margin erosion modeling, the following parameters are strictly applied to the dataset:

Promotional Discount Cap: Standard business operations dictate a maximum discount threshold of 20%. Any transaction exceeding a 20% markdown is flagged for audit as unauthorized margin erosion.

Operational Continuity: All 20 retail locations are assumed to have been fully operational with active transaction logs across the entire 15-month period.

Cost Stability: Product unit costs and base retail prices are treated as constant; fluctuations in profit margins are structurally isolated to promotional discounting strategies.

PROJECT OBJECTIVE

INCREASED WEEKEND SALES

Achieve +15% Weekend revenue by Q2 2024 through targeted campaigns, events and loyalty programs

IMPROVE PROFITABILITY

Identify and address underperforming product categories across 20 stores

OPTIMIZE DISCOUNTING

Optimizing Margins via Target Weekend and Maximizing Net Profit by Capping Manual Store Discounts at 20%

EXECUTIVE DASHBOARD

PERFORMANCE SUMMARY

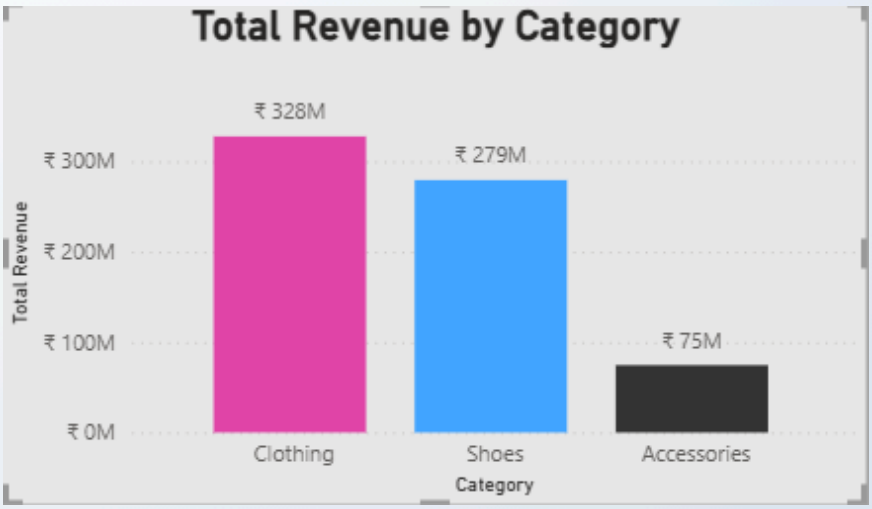
(JANUARY 2023 - MARCH 2024)

Total Revenue	Total profits	Avg Profit Margin
₹68.15cr	₹24.44CR	35.86%

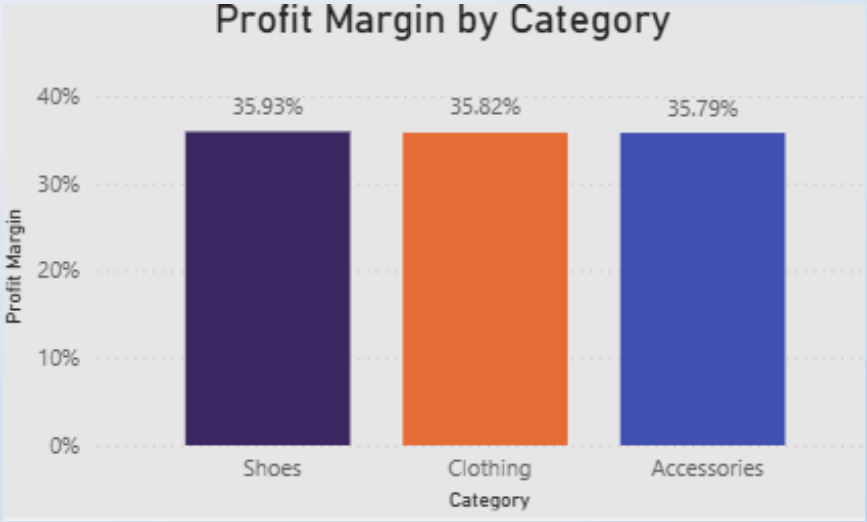
Avg Order value	Units Sold	Total Transactions
₹6,816	3,99,680	100K

Key KPIs Tracked : Total Revenue | Total Profits | Avg Profit margin| Avg Order value | Units sold | Total Transactions

Product category Performance



Clothing - 32.8 cr
Shoes -27.9cr
Accessories - 7.5cr



Profit Margin
Clothing - 35.82%
Shoes - 35.93%
Accessories - 35.79%

Clothing leads Revenue

Contributes 32.8cr (50.43% of total) with strong unit volume over 200K

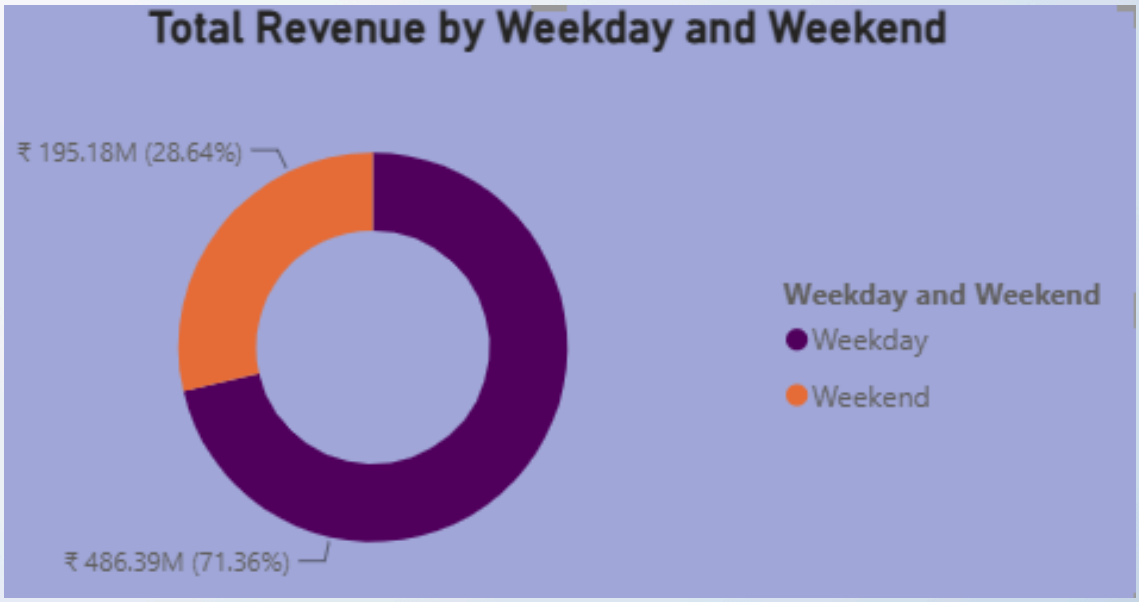
Accessories lags behind

Despite having a good profit margin it only generates 7.5cr(11% of total)

Shoes : Future Lead?

Deliver highest profit margin generating 27.9cr (41% of total) signals high potential to rival clothing

Weekday Sales vs Weekend Sales Analysis



Weekdays Dominate Revenue

- Contributes 71.36% of total
- Represents the primary engine of business growth
- Signals high routine consumer activity

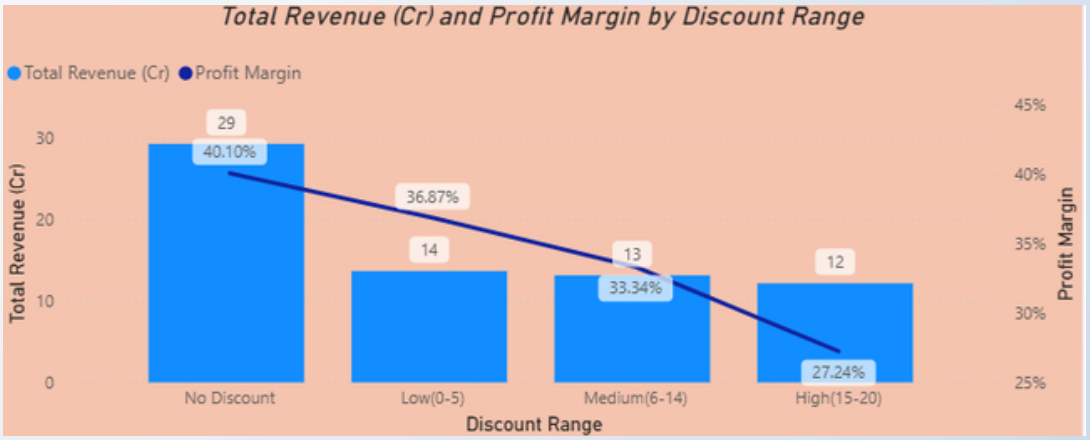
Weekends : Untapped Potential?

- Contributes 28.64% of total
- Highlights a major opportunity for targeted promotions

Key observations and Recommendations

- **Weekday carry the entire business which also shows weekend engagement is dangerously low.**
- **Launch weekend only flash sales and Boost weekend traffic via targeted ads.**
- **Optimize weekday inventory by aligning stock with peak demand avoiding out of stock losses**

Impact of discounting on Profit margins



Profit at no discount 40.10%

Total revenue at no discount 29cr(approx.)

Profit at Low discount(0-5%) 36.87%

Total revenue at Low discount 14cr(approx.)

Profit at Medium discount(6-14%) 33.34

Total revenue at medium discount 13cr(approx.)

Profit at High discount (15-20%) 27.24

Total revenue at High discount 12cr(approx.)

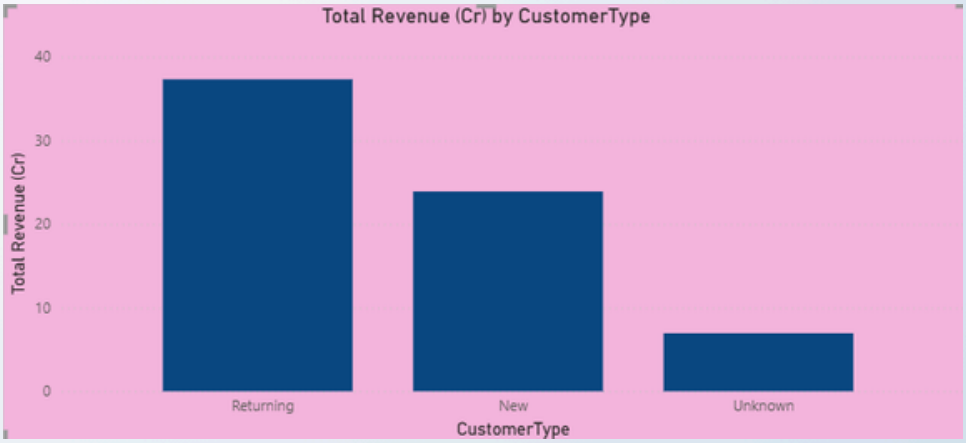
Core Insights

- Peak performance at no discount.
- Maximum profitablity - No discount sales yield a 40.10% margin.
- Severe margin erosion - Margins drop to 27.24% at high discounts.
- Ineffective Promotions - Higher discounts correspond to lower total revenue
- Value Destruction at higher sales discount.

Key Recommendations

- Eliminate High Discounts - Phase out the 15-20% discont tier
- Instead of offering high discount implement a ‘Gift with purchase’(GWP) strategy for slow moving products.
- Protect brand equity by keeping core items at full retail price.
- Target SKUs - Never run site wide discounts ; only discount specific failing items.

Customer Segmentation and targeted strategies



Returning Customers (The Revenue Anchor)

- **Data Insight**: This is your most valuable segment, contributing the highest share of revenue (~37 Cr).
- **Behavior**: They know your brand, trust your product, and have a high Customer Lifetime Value (CLV).
- **Targeted Strategies**:
  - **Loyalty Programs**: Introduce a tiered rewards program to increase order frequency.
  - **Exclusive Access**: Provide early access to new product launches or premium features.

New Customers (The Growth Engine)

- **Data Insight**: A highly significant secondary revenue driver, bringing in ~23 Cr.
- **Behavior**: They have recently converted but haven't developed strong brand habituation or long-term loyalty yet.
- **Targeted Strategies**:
  - **Onboarding Flows**: Deploy an automated, high-touch email welcome series to guide product usage.
  - **Second-Purchase Incentives**: Offer a bounce-back discount code valid only for the next 30 days.

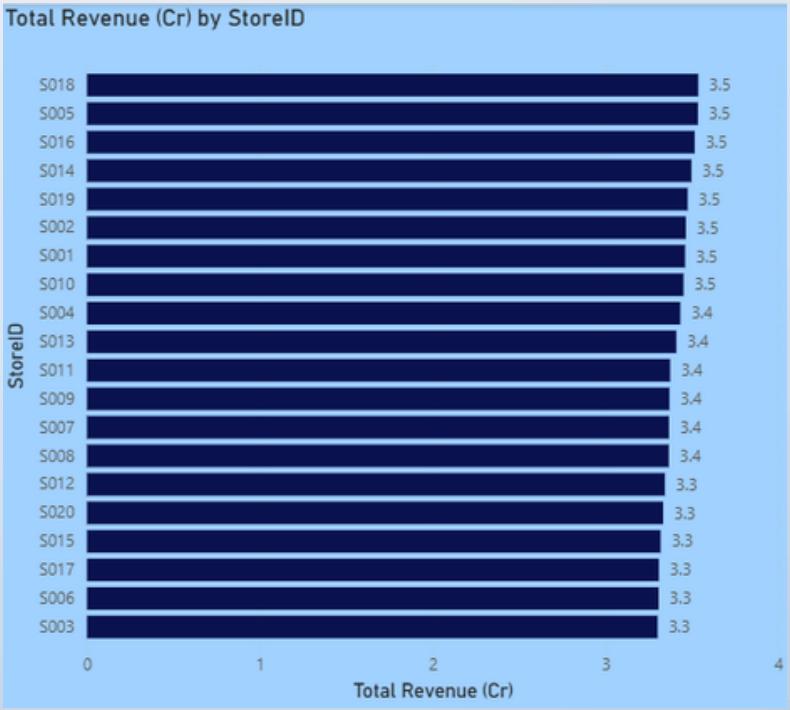
Unknown Customers (The Data Leakage)

- **Data Insight**: Represents the smallest but notable revenue bucket (~6 Cr) where user identity is unmapped.
- **Behavior**: Likely comprised of guest checkouts, incognito browsers, or unlinked offline point-of-sale data.
- **Targeted Strategies**:
  - **Account Incentives**: Offer a small discount (e.g., 5% off) at checkout if they create an account.
  - **Identity Resolution**: Implement tracking pixels, social sign-ins, or phone number lookups to merge profiles.

Monthly Sales Analysis and top performing stores



Peak month - MAY
Lowest month - February

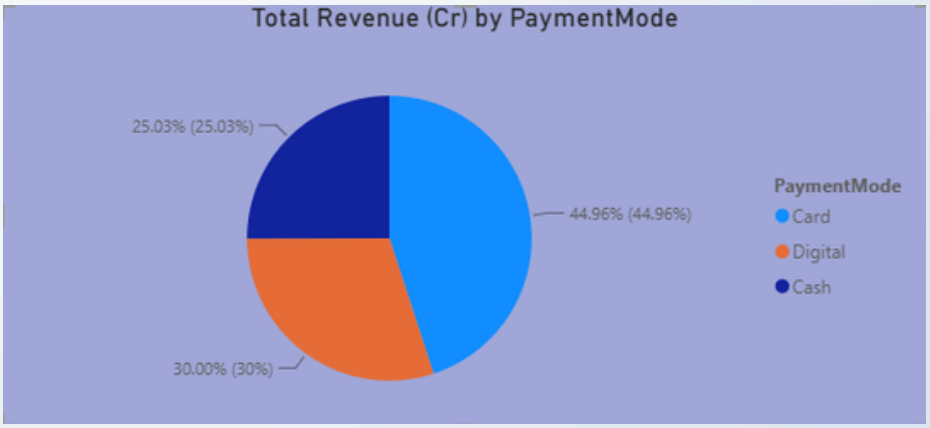


Store Id S018 leads the revenue although sales revenue remains consistent across all the stores

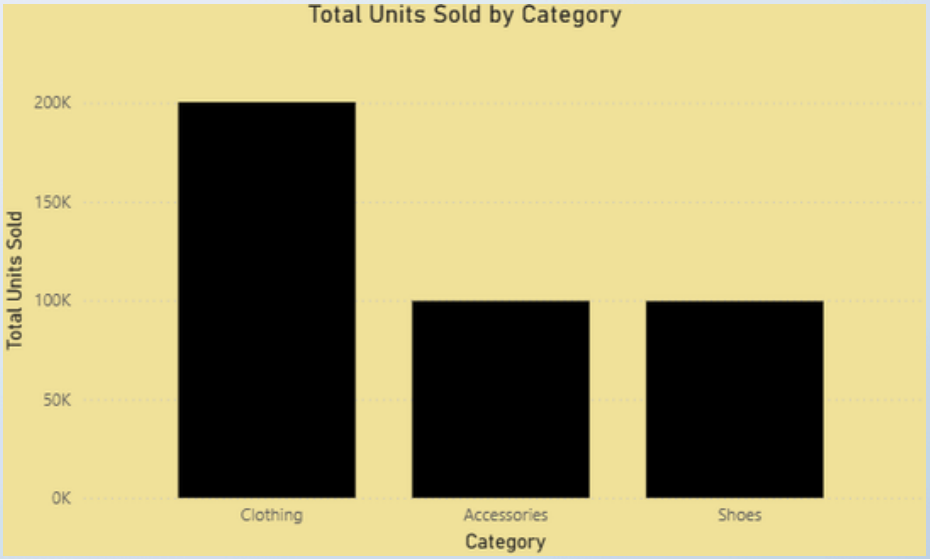
CORE INSIGHTS

- Sales experience sharp fluctuations throughout the year ,with a severe drop in february.
- Q1 seems to be very unstable while Q4 shows stability .
- Revenue generated across all stores remains uniform.

Payment mode and units sold by category



Card - 44.96%
Digital - 30%
Cash - 25.03%



Clothes - 200k
Accesories - 100K
Shoes - 100K

Key Data Findings

- **Card dominates with almost 45% of revenue.**
- **Digital payment shows future potential growth among customers.**
- **Clothing drives unit volume and a clear leader in physical sales with 200K.**

Strategic Recommendations

⚡ Quick-Win Strategies (Next 30–90 Days)

- **Boost Weekend Sales: Run weekend-only offers and campaigns to help achieve the 15% increase in weekend revenue.**
- **Increase Order Value: Recommend accessories with clothing and shoes to encourage customers to buy more.**
- **Use Targeted Promotions: Run offers on selected slow-moving products instead of giving discounts across the whole store.**
- **Prepare for Festivals: Plan attractive bundles and limited-time offers ahead of Diwali and Dussehra to increase seasonal sales.**

🚀 Long-Term Strategies (6–12 Months)

- **Build a Stronger Weekend Strategy: Create regular weekend campaigns and events to make weekends a major sales opportunity.**
- **Launch a Loyalty Program: Reward repeat customers and give extra points or benefits for weekend and festive purchases.**
- **Reduce Supplier Costs: Negotiate better prices with suppliers for high-selling categories like Clothing and Shoes.**
- **Grow Festive Sales: Plan festive collections, bundles, and special offers early to capture higher customer demand during Diwali, Dussehra, and other major festivals.**

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THANK YOU

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